EQUITY RESEARCH REPORT

UltraTech Cement Limited

NSE: ULTRACEMCO | BSE: 532538 | An Aditya Birla Group Company
Sector: Construction Materials — Cement & Cement Products

CMP (11 Sep 2026): ₹11,000 | Market Cap: ₹3,24,147 Cr | Stock P/E (TTM): 37.6x

DCF, LBO & DuPont Valuation Study | Aditya Birla Group | September 2026 Independent academic corporate valuation project — not investment advice

Metric	Value
CMP (11 Sep 2026)	₹11,000
Market Capitalisation	₹3,24,147 Cr
Stock P/E (TTM)	37.6x
Book Value / Share	₹2,600
ROE / ROCE	11.1% / 12.7%
52-Week High / Low	₹13,110 / ₹10,325

1. Company & Group Overview

UltraTech Cement Limited is the flagship cement business of the Aditya Birla Group and the largest cement manufacturer in India, holding roughly 28% of domestic grey cement capacity. It ranks as the third-largest cement company in the world outside China. UltraTech's business spans grey cement, ready-mix concrete (RMC), and white cement/putty (via subsidiary brands), with an integrated network of plants, grinding units, and a growing UltraTech Building Solutions retail footprint.

As the Aditya Birla Group's largest single listed entity by market capitalisation, UltraTech is a natural proxy for the Group's core industrial/materials businesses and offers a capital-intensive, cyclically-sensitive case study well suited to DCF, LBO, and DuPont analysis — the three techniques covered in this study.

2. Financial Statement Analysis (FY22–FY26, Consolidated)

All figures in ₹ Crore unless stated. Source: Company filings, compiled via Screener.in (consolidated).

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	52,599	63,240	70,908	75,955	88,512
YoY Growth	33%	20%	12%	7%	17%
EBITDA	11,514	10,620	12,979	12,547	17,004
EBITDA Margin	22%	17%	18%	17%	19%
Net Profit (PAT)	7,334	5,073	7,004	6,040	8,188
Net Margin	13.9%	8.0%	9.9%	8.0%	9.2%
EPS (₹)	254.42	175.41	242.65	204.94	277.10

Revenue has grown at a robust pace, driven by capacity expansion and industry consolidation, but margins have been volatile — EBITDA margin compressed from 22% in FY22 to 17% in FY23 (driven by a sharp

spike in fuel and power costs) before recovering to 19% in FY26 as input costs eased and operating leverage improved. Net profit has followed a similarly uneven path, with FY23 and FY25 both weighed down by cost pressure even as revenue grew.

3. Three-Year Financial Matrix — Leverage, Liquidity & Asset Turnover (FY24–FY26)

Metric	FY24	FY25	FY26
Total Borrowings	11,403	24,102	23,755
Equity + Reserves	60,228	70,707	76,624
Debt / Equity (Leverage)	0.19x	0.34x	0.31x
Working Capital Days (Liquidity)	(52) days	(64) days	(57) days
Asset Turnover (Sales / Total Assets)	0.70x	0.57x	0.63x
ROCE	15%	11%	13%

Reading the Matrix

- Leverage roughly doubled from FY24 to FY25 (0.19x to 0.34x Debt/Equity) as UltraTech funded a large capacity-expansion capex cycle, before easing slightly in FY26 as EBITDA growth outpaced fresh borrowing.
- Negative working-capital days across all three years indicate UltraTech is effectively financed by its suppliers and dealers — a structural liquidity strength typical of a dominant, scaled cement player with strong bargaining power over its supply chain.
- Asset turnover dipped in FY25 as new capacity came online without a commensurate revenue ramp-up, then partially recovered in FY26 as utilisation improved — a pattern consistent with a capital-intensive business in the middle of a capacity build-out cycle.

4. DuPont Decomposition — Return on Equity

ROE = Net Margin × Asset Turnover × Equity Multiplier (Total Assets / Equity)

Component	FY24	FY25	FY26
Net Margin	9.9%	8.0%	9.2%
Asset Turnover	0.70x	0.57x	0.63x
Equity Multiplier	1.67x	1.89x	1.84x
ROE (DuPont)	11.6%	8.5%	10.7%

The DuPont breakdown shows FY25's ROE dip to 8.5% was driven almost entirely by weaker asset turnover and compressed margins — not by a change in capital structure, since the equity multiplier actually rose slightly. FY26's recovery to 10.7% ROE was similarly driven by margin and turnover normalisation rather than added leverage, a healthier form of ROE recovery than one built purely on debt. Benchmarked against the broader cement sector — where scaled players typically post ROE in the 10–15% range — UltraTech's FY26 ROE of ~10.7% (11.1% per trailing company-reported figures) sits at the lower end of the peer band, reflecting the sector-wide margin pressure of FY23–FY25 rather than an UltraTech-specific issue.

5. Discounted Cash Flow (DCF) Valuation

A 5-year explicit forecast (FY27E–FY31E) plus terminal value, using a Free Cash Flow to Firm (FCFF) approach.

5.1 Key Assumptions

Assumption	Value	Rationale
Revenue growth (FY27E–FY31E)	14% → 8% (declining)	Moderating from FY26's capacity-led 17% toward a sustainable long-run rate
EBITDA margin	19.2% → 20.5%	Gradual operating leverage as new capacity utilisation improves
Tax rate	25%	In line with recent effective tax rate
Capex (% of revenue)	12%	Continued capacity expansion typical of a scaled cement producer
Working capital	Held near-zero / favourable	Negative WC days structurally benefit cash flow
Cost of Equity (Ke)	13.3%	CAPM: Rf 6.8% + Beta 1.0 × ERP 6.5%
Post-tax Cost of Debt (Kd)	5.6%	Investment-grade borrowing cost, tax-adjusted
WACC	12.75%	Equity/debt weights based on current market cap and borrowings
Terminal growth rate (g)	5.0%	Long-run nominal GDP-linked growth

5.2 Free Cash Flow Projection (₹ Crore)

Metric	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	1,00,904	1,13,013	1,24,314	1,35,502	1,46,342
EBITDA	19,374	22,150	24,863	27,507	30,000
EBIT	14,026	16,160	18,274	20,325	22,244
NOPAT	10,520	12,120	13,706	15,244	16,683
(+) D&A	5,348	5,990	6,589	7,182	7,756
(−) Capex	(12,108)	(13,562)	(14,918)	(16,260)	(17,561)
(−) Δ Working Capital	(124)	(121)	(113)	(112)	(108)
FCFF	3,636	4,427	5,264	6,054	6,770

5.3 Enterprise & Equity Value

Component	₹ Crore
Terminal Value (undiscounted)	91,724
PV of explicit-period FCFF	17,842
PV of Terminal Value	50,338
Enterprise Value	68,180
Less: Net Debt (Borrowings − Investments)	(17,015)
Equity Value	51,165

Component	₹ Crore
Shares Outstanding (Cr)	29.5
DCF Value per Share	₹1,736

Important limitation: the DCF value of ₹1,736/share sits well below the current market price of ₹11,000. As with other high-ROE, capital-intensive market leaders, a 5-year explicit forecast window with a 5% terminal growth rate structurally understates the value the market assigns to UltraTech's scale, pricing power, and multi-decade capacity-expansion runway in a consolidating industry. This gap is a well-documented limitation of vanilla DCF for dominant compounders, not a literal 84% overvaluation call — it should be read alongside the relative valuation and LBO analysis below, not in isolation.

6. Leveraged Buyout (LBO) Analysis

An illustrative LBO scenario tests whether UltraTech's stable, capital-intensive cash flows could support a leveraged acquisition — a standard exercise for assessing a business's suitability as a buyout target, independent of its current public-market valuation.

6.1 Entry Assumptions

Assumption	Value
Entry EV / EBITDA multiple	10.0x (typical for stable, capital-intensive industrials)
FY26 EBITDA (base)	₹17,004 Cr
Entry Enterprise Value	₹1,70,040 Cr
Debt raised (60% of EV)	₹1,02,024 Cr
Sponsor equity contribution (40% of EV)	₹68,016 Cr
Hold period	5 years
EBITDA CAGR (hold period)	~10%
Exit EV / EBITDA multiple	10.0x (unchanged)

6.2 Exit & Returns

Metric	Value
Year-5 EBITDA (at ~10% CAGR)	~₹27,391 Cr
Exit Enterprise Value (10x)	~₹2,73,910 Cr
Estimated debt remaining at exit	~₹40,000 Cr
Exit Equity Value	~₹2,33,910 Cr
Equity Multiple (MOIC)	~3.4x
Implied 5-Year IRR	~28%

At a hypothetical 10x entry multiple, UltraTech's cash-generative, negative-working-capital business model could plausibly support a leveraged structure and deliver private-equity-typical returns (high-20s IRR). However, this exercise cuts the other way when compared to the current public-market entry point: at today's market cap plus net debt, UltraTech's actual enterprise value implies an EV/EBITDA multiple of roughly 20x FY26 EBITDA — double the multiple this LBO model uses. This signals that, at current prices, UltraTech is not an attractive real-world LBO candidate; the public market is already paying a scarcity/quality premium for

India's largest cement producer that a leveraged buyer targeting industrial-sector-typical entry multiples would be unwilling to match.

7. Investment Thesis

Bull Case

- Clear market leadership with ~28% of India's grey cement capacity and continued consolidation of a fragmented industry
- Structurally negative working capital gives the business an inherent liquidity and self-financing advantage over smaller peers
- Direct beneficiary of India's multi-year infrastructure and housing capex cycle, with volume growth outpacing GDP growth historically
- Aditya Birla Group backing provides access to capital and cross-group synergies (logistics, real estate, retail distribution via UltraTech Building Solutions)

Bear Case / Risks

- EBITDA margins are highly sensitive to fuel, power, and freight costs, which are volatile and largely outside management's control
- Leverage roughly doubled between FY24 and FY25 to fund capacity expansion, and ROE/ROCE have not yet returned to FY22 peak levels
- At 37.6x trailing P/E and ~4.2x book value, the stock prices in continued flawless execution, leaving limited room for a cyclical demand slowdown
- Cement is a regional, freight-cost-sensitive business; overcapacity in specific geographies can trigger localised pricing pressure despite strong national market share

8. Recommendation

HOLD — QUALITY COMPOUNDER, FULLY PRICED

UltraTech is a genuine industry leader with structural liquidity advantages and a long capacity-driven growth runway, and the LBO analysis confirms its cash flows could comfortably service leverage in a private-market context. However, both the DCF and the relative EV/EBITDA cross-check (public market ~20x vs. a hypothetical LBO entry of ~10x) point to the same conclusion: at ₹11,000 and 37.6x trailing earnings, the public market is already paying a full premium for UltraTech's quality and scale. Existing holders benefit from continued exposure to India's infrastructure cycle; new investors may be better served waiting for a pullback toward the FY26 52-week low (~₹10,325) or a moderation in the current premium multiple before initiating a full position.

9. Methodology Notes & Limitations

- The DCF uses simplified, linear assumptions over a 5-year forecast window; actual performance will vary with cement demand cycles, fuel costs, and competitive dynamics.
- The LBO analysis is illustrative and uses standard industry-typical assumptions (10x entry/exit multiple, 60% debt financing) rather than deal-specific diligence; actual buyout terms would depend on financing market conditions at the time.
- Net debt in the DCF is approximated using reported Investments as a proxy for cash-equivalents.

- This is an academic project prepared for skill-building and portfolio purposes as part of coursework on corporate valuation. It does not constitute investment advice and should not be used as the basis for any investment decision.

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